

An Act

ENROLLED HOUSE
BILL NO. 4338

By: Moore, Newton, and Bashore
of the House

and

Green of the Senate

An Act relating to Oklahoma Brine Development Act; making provisions applicable after certain date; amending 17 O.S. 2021, Section 501, which relates to purpose; modifying legislative intent; amending 17 O.S. 2021, Section 502, which relates to definitions; updating definitions; defining terms; amending 17 O.S. 2021, Section 503, which relates to Corporation Commission jurisdiction; modifying certain exception; providing limitation of liability; construing provisions; amending 17 O.S. 2021, Section 504, which relates to unitization of brine rights; requiring the filing of certain application; updating statutory references; modifying description of certain unit; amending 17 O.S. 2021, Section 506, which relates to findings of the Commission; modifying description of evidential findings; modifying description of certain unit; requiring orders remain applicable and serve as guidelines; amending 17 O.S. 2021, Section 507, which relates to delineation of unit area; modifying certain description; removing single source of supply requirement; authorizing produced water unit to be certain size; limiting the source of supply; authorizing Corporation Commission to make certain determination; providing for the sharing and allocation of extracted elements; requiring operator maintain certain records; authorizing the commingling of produced water; providing for determination of gross production of extracted elements; amending 17 O.S. 2021, Section 508, which relates to plan of unitization; modifying description of certain unit; modifying plan requirements; modifying description of certain owners; stating certain provisions to be inapplicable to formation of a produced water unit;

authorizing possession and processing of produced water if certain conditions are met; requiring filing of application within specific time frame; authorizing proposed operator to seek emergency relief; requiring granting of relief upon certain showing; granting proposed applicant right to collect certain proceeds; requiring set royalty be held in suspense until final order establishes unit; detailing requirements for royalty rate; amending 17 O.S. 2021, Section 510, which relates to increase or decrease of unit area size; modifying description of certain unit; modifying required showing for increase in existing unit size; amending 17 O.S. 2021, Section 516, which relates to pre-existing brine, solution gas or brine and solution gas units; updating statutory references; amending 17 O.S. 2021, Section 517, which relates to payment of proceeds; modifying language to include produced water; modifying information to be included with certain payments; modifying time frame for which certain proceeds shall be paid; modifying certain interest rate for which operator is liable; authorizing certain forms of payment; amending 17 O.S. 2021, Section 519, which relates to notice to surface owner of intent to drill; stating certain provisions to be inapplicable to formation of a produced water unit; providing for codification; and declaring an emergency.

SUBJECT: Oklahoma Brine Development Act

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 526 of Title 17, unless there is created a duplication in numbering, reads as follows:

The amendatory provisions of this act shall apply to all brine unitization applications filed with the Corporation Commission on or after the effective date of this act, but not otherwise.

SECTION 2. AMENDATORY 17 O.S. 2021, Section 501, is amended to read as follows:

Section 501. The Legislature finds that it is desirable and necessary to authorize and provide for unitized management, operation, and further development of brine and associated solution gas, to the end that a greater ultimate recovery of brine and solution gas may be had, waste prevented, and the correlative rights of owners therein be protected. In addition, the Legislature also finds that it is a desirable public policy and necessity to reduce disposal of brine water, also referred to as produced water, from oil and gas operations, defined as oil and gas produced water and waste by Section 86.7 of Title 52 of the Oklahoma Statutes, and encourages reusing, recycling, and reclaiming such water and extraction of its constituent elements included therein. It is further found to be in the public interest to foster, encourage and promote the development and production in the State of Oklahoma of brine, produced water, and solution gas and to authorize and provide for the operation and development of unitized brine, produced water, and solution gas properties, and to authorize the Corporation Commission to regulate brine, produced water utilized for the purpose of extracting its constituent elements included therein, and solution gas production. Produced water subject to the jurisdiction of the Oil and Gas Produced Water and Waste Recycling and Reuse Act, Section 86.6 et seq. of Title 52 of the Oklahoma Statutes, shall not be governed by the Oklahoma Brine Development Act unless the produced water is intended to be or is processed for the commercial extraction and sale of constituent elements, or any one of them as set forth in Section 86.8 of Title 52 of the Oklahoma Statutes.

SECTION 3. AMENDATORY 17 O.S. 2021, Section 502, is amended to read as follows:

Section 502. As used in this act:

1. "Commission" ~~shall mean~~ means the Corporation Commission of Oklahoma;

2. "Person" ~~shall include~~ means any individual, partnership, corporation or association of whatever character;

3. ~~"Common source of supply shall include that"~~ Brine common source of supply ~~shall include that~~ means the area which that is underlain, or which, from geological or other scientific data, or from drilling operations, or other evidence, appears to be underlain by a common accumulation of brine; ~~provided, that, if.~~ If any such area is underlain or appears from geologic or other scientific data, or from drilling operations, or from other evidence to be underlain by more

than one common accumulation of brine separated from each other by a strata of earth and not connected with each other, then ~~such the~~ area, as to each said common accumulation of brine, shall be deemed a separate brine common source of supply. In either circumstance of a brine production unit or produced water unit, brine may be produced from multiple common sources of supply from one or more oil and gas wells or one or more brine wells, which shall all be considered the common source of supply for purposes of this act. Brine common source of supply specifically does not include or mean "common source of supply" as that term is defined by Section 86.1 of Title 52 of the Oklahoma Statutes;

4. "Brine" ~~shall mean~~ means subterranean saltwater and all of its constituent parts and chemical substances therein contained, including, but not limited to bromine, magnesium, potassium, lithium, boron, chlorine, iodine, calcium, strontium, sodium, sulphur, barium or other chemical substances produced with or separated from ~~such the~~ saltwater, and prior to its extraction from the ground, is the property of the owner of the surface estate, as defined in paragraph 9 of Section 802 of Title 52 of the Oklahoma Statutes. ~~Brine produced as an incident to the production of oil or gas, unless such brine is saved or sold for the purposes of removing chemical substances therefrom, shall not be considered brine for the purposes of this act.~~ Gas, whether found in solution or otherwise, shall not be included within the meaning of the term "brine";

5. "Brine owner" ~~shall mean~~ means any person entitled to share in the proceeds from the sale of brine production or produced water, or the constituent elements or reclaimed water which are recovered from the brine production or produced water, or the effluent. Pursuant to subsection C of Section 86.7 of Title 52 of the Oklahoma Statutes, nothing contained in the Oil and Gas Produced Water and Waste Recycling and Reuse Act shall be construed to prevent the owner of the surface estate from being considered the brine owner;

6. "Brine well" means a well specifically drilled or operated for the primary purpose of extracting brine and shall not include a well drilled or operated for the primary purpose of producing oil or gas;

7. "Solution gas" ~~shall mean~~ means all gas produced from brine wells from the brine common source of supply within the brine production unit area;

~~7.~~ 8. "Solution gas owner" ~~shall mean~~ means any person entitled to share in the proceeds from the sale of solution gas;

~~8.~~ 9. "Owner" or "owners" means, unless a more specific term is used, ~~shall mean~~ any person or entity who qualifies as either a brine owner or a solution gas owner;

~~9.~~ 10. "Operator" ~~shall mean~~ means a person who:

- a. has the right to drill into and produce from any brine common source of supply and to appropriate that production, either for ~~himself~~, the operator or for ~~himself~~ the operator and others,
- b. has the right to extract one or more of the constituent elements of brine or produced water produced as an incident to the production of oil and gas, and
- c. is authorized by the Commission to drill or extract such constituent elements;

~~10.~~ 11. "Effluent" ~~shall mean the liquid remaining after extraction of the chemical substances from brine~~ means the liquid remaining after extraction of the chemical substances from brine or produced water. Notwithstanding any other provision in this act, no contract or arrangement for further extraction of constituent elements or reclamation of the effluent into reclaimed water or any other commercial usage of the effluent shall result in additional costs or delays to the rights of the oil and gas operator to extract and dispose of subterranean water for, or incident to, the exploration, exploitation, or extraction of hydrocarbons. To the extent the oil and gas operator determines at its sole discretion that any such contract or arrangement will result in additional costs or delays to its rights to extract and dispose of subterranean water, such effluent shall be considered oil and gas produced water and waste, subject to the provisions of the Oil and Gas Produced Water and Waste Recycling and Reuse Act;

~~11.~~ 12. "Brine production unit" ~~or "unit" shall mean~~ means each separate specific area of land so designated by order of the Commission for production of brine and associated solution gas ~~and the~~ from brine wells, including the related injection of effluent;

13. "Produced water unit" means the specific area of land so designated by order of the Commission for the commercial extraction and sale of constituent elements, or any one of the elements, or reclaimed water, from produced water. The Commission, based upon the facts and circumstances, shall determine the size and shape of any produced water unit. Unless a larger size unit is determined to be appropriate under the facts and circumstances, the produced water unit shall be the same size and cover the same geographical area as the spacing or drilling unit or horizontal spacing unit created pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes, the horizontal well unitization created pursuant to Section 87.9 of Title 52 of the Oklahoma Statutes, or the unitized management area created pursuant to Sections 287.1 through 287.15 of Title 52 of the Oklahoma Statutes, of the associated oil or gas well or wells from which the produced water is derived. Each such produced water unit shall be limited to the equivalent same brine common source or sources of supply as the oil and gas common source or sources of supply of the associated oil or gas well from which produced water is being received for the extraction of constituent elements of such brine, unless a different size unit is determined to be appropriate under the facts and circumstances. A produced water unit may be created for and limited to the extraction of a single constituent element or multiple constituent elements. Multiple produced water units may be created and exist for the produced water from the same associated oil and gas well or wells, provided that the applicant for each unit meets the definition of operator provided in this section for the rights to each constituent element sought to be unitized. Furthermore, an applicant may seek to create two or more produced water units by and through the filing of a single Commission cause. Where multiple proposed produced water units are encompassed in a single cause, the applicant may prepare a single form plan of unitization, which if approved by the Commission, shall collectively apply to each individual produced water unit encompassed by the single cause.

If the Commission has not previously established a drilling or spacing unit for the oil or gas well or wells from which the produced water is derived, the Commission shall in its discretion determine the size and shape of the produced water unit, taking into consideration all facts and circumstances including, but not limited to, the economics of collection, transportation, and processing produced water to recover any extracted constituent element;

~~12.~~ 14. "Injection well" shall mean means a well authorized by the Commission for the injection of effluent or other solutions; and

~~13.~~ 15. "Manufacture" shall mean means the complete process of drilling, completing, equipping and operating production and injection wells and of extracting and packaging brine;

16. "Oil or gas well" means a well drilled or operated for the primary purpose of extracting oil or gas as those terms are defined in Title 52 of the Oklahoma Statutes;

17. "Associated oil or gas production" means the oil or gas produced from an oil and gas well from which produced water is extracted as an incident to the production of the oil or gas and the produced water is utilized for the purpose of extracting its constituent elements therefrom;

18. "Constituent elements" means salts, metals, elements, and other mineralized substances that are naturally occurring and dissolved, entrained, or suspended in subterranean water in situ and, after extraction from the ground, suspended in the brine or produced water, but specifically does not include skim oil or hydraulic fracturing fluid;

19. "Extracted constituent element" means any constituent element extracted from the produced water through reconditioning or treating of the produced water by mechanical or chemical processes that is saved and commercially utilized or sold;

20. "Produced water" means the subterranean salt water, and the other liquid waste associated with, incidental to, or extracted during oil and gas drilling, completion, or production process. Produced water subject to the jurisdiction of the Oil and Gas Produced Water and Waste Recycling and Reuse Act shall not be governed by the Oklahoma Brine Development Act, unless the produced water is intended to be or is processed for the commercial extraction and sale of the constituent elements, or any one of them;

21. "Reclaimed water" means produced water that has been reconditioned or treated by mechanical or chemical processes after the extraction of one or more constituent elements for commercial purposes. Reclaimed water specifically does not include recycled water as that term is defined by Section 86.7 of Title 52 of the Oklahoma Statutes for purposes of the Oil and Gas Produced Water and Waste Recycling and Reuse Act. A party who, for commercial purposes, treats produced water by mechanical or chemical process for the extraction of one or more constituent elements such that the

produced water becomes reclaimed water as defined herein shall not be liable in tort or otherwise, before or after custody transfer, for the use, handling, treatment, or processing by another party of such produced water or reclaimed water;

22. "Recycler" means a person approved and authorized by the Commission who receives produced water, for the purpose of saving, extracting, reconditioning, or treating the same by mechanical or chemical processes into a reusable form; and

23. "Recycling waste" means the noncommercial by-products or residual liquids or solid materials that remain after the recycling or extraction process.

SECTION 4. AMENDATORY 17 O.S. 2021, Section 503, is amended to read as follows:

Section 503. A. The Corporation Commission is hereby vested with jurisdiction over the following:

1. The drilling for ~~and~~ or production of brine for commercial purposes;

2. Class V injection wells used for the injection or disposal of mineral brines as defined in the federal Safe Drinking Water Act and 40 CFR Part 146; and

3. Class V wells used to inject spent brine into the same formation from which it was withdrawn after extraction of halogens or their salts as defined in 40 CFR Part 146.

B. The Commission may promulgate ~~such~~ rules that:

1. ~~As are~~ Are reasonably necessary to effectuate the purposes of this act, including rules governing the drilling of production, injection or disposal wells and the injection of effluent into underground formations; and

2. ~~To ensure~~ Ensure that the drilling, casing and plugging of wells is done in such a manner as to prevent the escape of brine and effluent from one formation to another and to prevent the pollution of fresh water supplies throughout the state.

C. The enforcement and adherence to the Oklahoma Brine Development Act shall not apply to nor shall the Corporation

Commission have jurisdiction over Class I, III, IV or V wells regulated by the Department of Environmental Quality pursuant to the federal Safe Drinking Water Act and 40 CFR Parts 144 through 148, inclusive, and the Oklahoma Environmental Quality Act.

D. Nothing herein shall be construed to obligate the oil and gas operator to engage in constituent mineral extraction.

E. A party who transfers produced water to another party for the commercial extraction and sale of one or more constituent elements, or to a recycler as defined in paragraph 22 of Section 502 of this title, shall not be liable in tort or otherwise, before or after custody transfer, for the use, handling, treatment, processing, or disposition by the receiving party or any subsequent party of such produced water or of any byproducts, residual materials, or waste derived therefrom. This limitation of liability shall apply regardless of whether the transferring party is the operator of the produced water unit, operator of the oil or gas well from which the produced water is derived, a transporter, or a disposal operator. Nothing in this subsection shall be construed to relieve the transferring party of liability for its own acts or omissions occurring prior to the point of custody transfer, including any obligation to comply with applicable environmental laws and regulations governing the handling, storage, and transportation of produced water prior to transfer.

SECTION 5. AMENDATORY 17 O.S. 2021, Section 504, is amended to read as follows:

Section 504. A. A party desiring to unitize brine or produced water rights shall file with the Corporation Commission an application setting forth a description of the proposed brine production unit or produced water unit area with a map or plat thereof attached. The application shall allege the existence of the facts required to be found by the Commission as provided in Section 7 506 of this act title and allege that the party desiring to unitize the brine or produced water rights meets the criteria of subparagraphs a and b of paragraph 10 of Section 502 of this title. The application shall set forth the name and address of each brine owner within the area affected by the application. Each such person shall be a respondent to the application. In an application to enlarge the brine production unit or produced water unit area, brine owners within the existing unit and brine owners in the area to be added to the unit shall be respondents to the application.

B. In the event the brine ~~sought to be unitized~~ in a proposed brine production unit is found in association with solution gas, the application shall set forth the name and address of each solution gas owner within the area affected by the application. Each such person shall be a respondent to the application. In an application to enlarge the brine production unit area, solution gas owners within the existing brine production unit and solution gas owners in the area to be added to the brine production unit shall be respondents to the application.

C. Every application to establish a brine production unit or produced water unit shall have attached thereto a recommended plan of unitization applicable to the proposed unit area.

SECTION 6. AMENDATORY 17 O.S. 2021, Section 506, is amended to read as follows:

Section 506. A. If, after proper application and notice, the Corporation Commission in its hearing shall find by substantial evidence that:

1. There exists a brine common source of supply or prospective brine common source of supply for brine or produced water;

2. Unitized management, operation and further development of the brine common source of supply for brine or produced water from oil or gas wells is reasonably necessary in order to effectively develop the brine ~~common source of supply~~ and allow for the extraction of its constituent elements;

3. Unitized operation as applied to such brine common source of supply or produced water is feasible and will prevent waste and, with reasonable probability, will result in greater ultimate recovery of brine and its constituent parts;

4. Such unitization is for the common good and will result in the general advantage of the owners of the brine rights within the proposed brine production unit or produced water unit and will protect the correlative rights of the owners within the brine common source of supply or produced water; and

5. The creation of a brine production unit or produced water unit will accomplish one or more of the following:

a. avoid the drilling of unnecessary wells,

- b. prevent waste,
- c. protect correlative rights, ~~or~~
- d. increase the ultimate recovery of brine from the brine common source of supply and unit covered by the application, or
- e. allow recovery and extraction of constituent elements from produced water,

the Commission shall make a finding to that effect and enter an order creating the brine production unit or produced water unit, and requiring unitized operation of the prospective brine common source of supply or portion thereof described in the order.

B. If the Commission in its hearing shall find by substantial evidence that:

1. The proposed unit is a brine production unit, and not a produced water unit;

2. Solution gas exists within the brine common source of supply or prospective brine common source of supply;

~~2.~~ 3. The production of brine is impossible or impractical without also producing the solution gas; and

~~3.~~ 4. The unitization of the brine common source of supply is impractical or impossible without also unitizing the associated solution gas,

the Commission shall make a finding to that effect and shall further provide in its order for the unitization of the solution gas within the brine production unit area.

C. Orders of the Commission entered pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes establishing drilling and spacing units for the production of oil, gas or oil and gas shall not be applicable to the drilling of brine wells ~~and~~ or the production of solution gas from a brine production unit established by an order issued pursuant to this act. However, such drilling and spacing orders shall remain applicable to oil or gas wells and associated oil and gas production, and shall serve as general nonmandatory

guidelines for establishing the size, shape, and common source of supply of any produced water unit established under this act.

SECTION 7. AMENDATORY 17 O.S. 2021, Section 507, is amended to read as follows:

Section 507. A. The order of the Corporation Commission shall define the area of the brine common source or sources of supply or portion thereof to be included within the brine production unit or the produced water unit area. Each unit and unit area shall be limited to all or a portion of a single common source of supply. Unless a larger size unit is determined to be appropriate under the facts and circumstances, a produced water unit may be the same size and cover the same geographical area as the spacing or drilling unit or horizontal spacing unit created pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes, the horizontal well unitization created pursuant to Section 87.9 of Title 52 of the Oklahoma Statutes, or unitized management area created pursuant to Sections 287.1 through 287.15 of Title 52 of the Oklahoma Statutes, of the associated oil or gas well or wells from which the produced water is derived. Each such produced water unit shall be limited to the equivalent common source or sources of supply as the oil and gas common source or sources of supply in the associated oil or gas well from which produced water is being received for the extraction of constituent elements of such produced water, unless the Commission determines that the unitization of multiple brine common sources of supply is necessary to prevent waste or protect correlative rights.

B. Brine owners within the brine production unit shall share in the production of brine in the proportion that their acreage bears to total acreage within the unit, unless the Commission, after notice and hearing, shall provide for another method in the unit plan. Solution gas owners within the brine production unit shall share in production of solution gas in the proportion that their acreage bears to total acreage in the unit, unless the Commission, after notice and hearing, shall provide for another method in the unit plan.

C. Brine owners within the produced water unit shall share in the extracted constituent element or elements and any reclaimed water derived from the production of produced water in the proportion that their acreage bears to total acreage within the unit, subject to any applicable lease royalty or if unleased, the royalty set forth in the Commission order creating the produced water unit. In the event a produced water unit consists solely of

lands situated within a single Corporation Commission-approved multiunit horizontal well created pursuant to Section 87.8 of Title 52 of the Oklahoma Statutes, the produced water from such multiunit horizontal well shall be allocated and shared by the brine owners in each unit utilizing the same allocation factors approved by the Commission for allocating the associated oil and gas production to the individual units. The operator shall maintain records reflecting the total number of barrels of produced water received for processing from each oil and gas well and produced water unit. Produced water received from a produced water unit may be commingled with produced water from other produced water units or brine production units for the purpose of extracting constituent elements or reclaimed water. The gross production of constituent elements or reclaimed water obtained from each produced water unit shall be determined by the total volume of comingled produced water received from the associated produced water unit prior to the extraction of any constituent elements, and not by any other metric unless so ordered by the Commission for good cause shown.

SECTION 8. AMENDATORY 17 O.S. 2021, Section 508, is amended to read as follows:

Section 508. A. The plan of unitization for each such brine production unit or produced water unit ~~and unit area~~ shall be one suited to the needs and requirements of the particular unit dependent upon the facts and conditions found to exist with respect thereto. In addition to such other terms, provisions, conditions and requirements found by the Corporation Commission to be reasonably necessary or proper to effectuate or accomplish the purpose of this act, and subject to the further requirements hereof, each such plan of unitization shall contain fair, reasonable and equitable provisions for:

1. The efficient unitized management or control of further development and operation of the brine production unit or produced water unit area. Under ~~such the~~ plan the actual operations of the unit shall be carried on by one of the owners of the right to drill for and produce brine within the unit area as unit operator or in the case of produced water associated with oil and gas production, by the operator of the produced water unit approved by the Commission. The designation of unit operator shall be by majority vote of the owners of the right to drill for and produce brine in the unit in accordance with their acreage ownership in the unit or as designated by the Commission in the case of produced water associated with oil and gas production;

2. The method and circumstances under which brine or effluent from the unit, or from any other source, may be injected into the brine common source of supply under the unit area or into other formations;

3. The fair, just and reasonable compensation to be awarded to any owner within the brine production unit or produced water unit who does not wish to participate in development of the unit by paying such owner's share of unit costs;

4. The fair, just and reasonable manner of participation for any owner desiring to participate in the development of the brine production unit or produced water unit by paying such owners share of unit costs;

5. The fair, just and reasonable allocation and distribution to each owner and the value of such owner's share of the brine, including the usable resources extracted from the brine, and solution gas, if any, produced from the unit;

6. The procedure and basis upon which wells, equipment and other properties of the owners within the brine production unit or produced water unit area are to be taken over and used for unit operations, including the method of arriving at the compensation therefor, or for otherwise proportionately equalizing the investment of the several owners in the unit;

7. The method of apportioning costs of development and operation between owners of brine and owners of solution gas, if solution gas has also been unitized;

8. The time when the plan of unitization shall become effective; and

9. The time when and conditions under which the unit shall or may be dissolved and all affairs concluded.

B. No order of the Commission creating a brine production unit and prescribing the plan of unitization applicable ~~thereto~~ to the brine production unit shall become effective unless and until the plan of unitization has been signed, or in writing ratified or approved by record owners of the right to drill of not less than fifty-five percent (55%) of the brine production unit area affected thereby and by owners of record of not less than fifty-five percent

(55%) (exclusive of royalty interest owned by lessees or subsidiaries of any lessee) of the royalty interest in and to the brine production unit area and the Commission has made a finding either in the order creating the unit or in a supplemental order that the plan of unitization has been so signed, ratified or approved by ~~lessees and royalty~~ brine owners of record owning the required percentage interest in and to the brine production unit area. Provided, however, in any instance where a ~~royalty~~ brine owner has, through lease or other agreement, previously authorized pooling or unitization of a size equal to or larger than the size specified in the Commission order, said lease or other agreement shall be deemed to be ~~such royalty~~ the brine owner's authorization to unitize, and no additional signature, ratification or approval shall be necessary from such owner, unless the lease provides for a different production sharing formula than set out in the plan of unitization. Further provided, however, in any instance where a ~~royalty owner has~~ the brine owners of record have, through lease or other agreement, previously consented to have the unit boundaries and the allocation formula established by the Commission, said lease or other agreement shall be deemed to be ~~such royalty~~ the brine owner's authorization to unitize, and no additional signature, ratification or approval shall be necessary from such owner. Where the plan of unitization has not been so signed, ratified or approved by ~~lessees and royalty~~ brine owners of record owning the required percentage interest in and to the brine production unit area at the time the order creating the unit is made, the Commission shall hold such additional and supplemental hearings as may be requested or required to determine if and when the plan of unitization has been so signed, ratified or approved by ~~lessees and royalty~~ brine owners of record owning the required percentage interest in and to the brine production unit area and shall, in respect to such hearings, make and enter a finding of its determination in such regard. In the event ~~lessees or royalty~~ brine owners, or either of record, owning the required percentage interest in and to the brine production unit area have not so signed, ratified or approved the plan of unitization within a period of six (6) months from and after the date on which the order creating the brine production unit is made, the order creating the unit shall be deemed vacated and of no force and effect. The provisions of this subsection are hereby expressly made inapplicable to the formation of a produced water unit.

C. A participating brine owner shall have a one-time election to sell, and any brine owner in the unit with brine refining equipment shall have the obligation to buy, the brine produced from

the unit at the value determined by the Commission; provided however, nothing herein shall require the purchasing brine owner to purchase brine when it is not producing brine from the unit for its own account.

D. A party that meets the requirements of subparagraphs a and b of paragraph 10 of Section 502 of this title may take possession of, and process, produced water for the extraction of consistent elements that is otherwise destined for disposal, prior to obtaining an order from the Commission creating the produced water unit, but in that event, the applicant shall file an application for the establishment of a produced water unit within sixty (60) days from the initial acceptance of the produced water. Upon the filing of an application for the establishment of a produced water unit and prior to the adjudication of the Commission of such application, the applicant may, or shall in the instance where the applicant has accepted produced water prior to the approval of a produced water unit, seek emergency relief from the Commission for the immediate production, commercial extraction and sale of constituent elements or reclaimed water from produced water derived from the associated oil or gas well, and the Commission shall grant such relief upon a showing that such emergency relief is reasonable and necessary under the established facts and circumstances to prevent waste.

The applicant shall have the right to collect all proceeds from the sale of brine or its constituent elements and reclaimed water prior to the entry of a final order establishing the produced water unit, provided that, unless otherwise provided by a written lease or contract with the brine owner, a set royalty share of the gross sales proceeds of the constituent elements and reclaimed water extracted, saved and sold, shall be held in suspense by the applicant for the benefit of any unleased brine owners within the proposed produced water unit until the Commission enters a final order establishing the produced water unit. Such royalty share and the royalty options set forth in the order of the Commission approving the produced water unit shall be set by the Commission at prevailing fair market value rate and may be adjusted based upon all reasonable evidence introduced including, but not limited to, evidence of the highest royalty paid for any arm's length negotiated brine leases within the produced water unit and any adjoining produced water unit.

SECTION 9. AMENDATORY 17 O.S. 2021, Section 510, is amended to read as follows:

Section 510. A. The Corporation Commission shall have jurisdiction to increase the size of an existing brine production unit or produced water unit area where it is shown, upon proper application, notice and hearing that:

1. Land adjacent to the existing unit is underlain by the same brine common source of supply as that found within the unit area;
~~and~~

2. Inclusion of the additional land will either:

- a. increase unit efficiency, ~~or~~
- b. result in greater ultimate recovery of brine or produced water, or
- c. prevent waste; ~~and~~

3. Inclusion of the additional land is fair, just and reasonable, both to parties owning brine or produced water interests in the additional land and to parties owning interests in the existing unit; and

4. The requirements of Section ~~9~~ 508 of this ~~act~~ title have been met.

B. The Commission shall have jurisdiction to decrease the size of an existing brine production unit or produced water unit where it is shown, upon proper application, notice and hearing, that the land to be excluded is of no value to the unit because:

1. It is not underlain by the brine common source of supply;
~~and~~

2. Its presence does not contribute to more efficient unit operations, by providing the site for an injection well or wells, or by assisting in the conduct of waterflood operations, or by otherwise increasing unit efficiency; and

3. Exclusion of the land is fair, just and reasonable.

SECTION 10. AMENDATORY 17 O.S. 2021, Section 516, is amended to read as follows:

Section 516. Sections ~~2~~ 501 through ~~16~~ 515 of this ~~act~~ title shall not have any effect on any existing brine, solution gas or brine and solution gas units which have been created voluntarily or by a judicial decree to the extent such unit was established as of ~~the date of this act~~ September 1, 1990. Any existing brine or brine and solution gas unit may be expanded using the provisions of this act.

SECTION 11. AMENDATORY 17 O.S. 2021, Section 517, is amended to read as follows:

Section 517. A. The proceeds derived from the sale of brine, produced water, solution gas, or brine and solution gas production shall be paid to persons legally entitled thereto, commencing no later than six (6) months after the date of first sale, and thereafter no later than ~~sixty (60) days~~ the last day of the second succeeding month after the end of the ~~calendar~~ month within which ~~proceeds are received for subsequent production~~ such production is sold. In those instances where proceeds are not received for disposition of brine, produced water, solution gas, or brine and solution gas production due to venting, flaring, use for operations, nonpayment from purchasers, or any other cause, the time periods previously specified within which any required payment shall be paid to the persons legally entitled thereto shall be measured from the date on which such venting, flaring, use for operations, nonpayment or other event occurred. Provided, proceeds from the sale of brine, produced water, and solution gas from lands covered by a pending application for unitization pursuant to this act shall be paid to persons legally entitled thereto within six (6) months from the entry of a final order of unitization, together with interest thereon at the rate of six percent (6%) per annum to be compounded annually, calculated from the date of first sale after the filing of the application for unitization. Such payment is to be made to persons entitled thereto by the operator of such production. Provided, ~~such operator may remit~~ proceeds from production may be remitted to the persons entitled to such proceeds ~~from production semiannually for the aggregate of six (6) months' accumulation of monthly proceeds of amounts less than Twenty-five Dollars (\$25.00)~~ annually for the twelve (12) months' accumulation of proceeds totaling at least Ten Dollars (\$10.00) but less than One Hundred Dollars (\$100.00). Amounts less than Ten Dollars (\$10.00) may be held but shall be remitted when production ceases or by the payor upon relinquishment of payment responsibility. Proceeds totaling less than One Hundred Dollars (\$100.00) but more than Twenty-five Dollars (\$25.00) shall be remitted monthly if requested by the

person entitled to the proceeds. Amounts less than Ten Dollars (\$10.00) shall be remitted annually if requested by the person entitled to the proceeds. Further provided, that any delay in determining the persons legally entitled to an interest in such proceeds from production caused by unmarketable title to such interest shall not affect payments to persons whose title is marketable. Provided, however, that in those instances where such proceeds cannot be paid because the title thereto is not marketable, the operator of such production shall cause all proceeds due such interest to earn interest at the rate of six percent (6%) per annum to be compounded annually, calculated from the last day of the production month, until such time as the title to such interest has been perfected. Marketability of title shall be determined in accordance with the then current title examination standards of the Oklahoma Bar Association.

B. The following information shall be included with each payment made to a brine owner from the sale of brine:

1. Unit identification;
2. Month and year of sales included in the payment;
3. Total volume of production from the unit of brine, produced water, or solution gas and in the case of a brine production unit, the concentration of chemical substances contained therein and volumes extracted therefrom;
4. Owner's interest, expressed as a decimal, in production from the unit;
5. Total value of extracted chemical substances and solution gas, including the price per unit of measurement at which the products were sold;
6. Owner's share of the total value of sales prior to any deductions;
7. Owner's share of the total value of sales after any deductions; and
8. A specific detailed listing of the amount and purpose of any deductions, including, but not limited to BTU adjustments and taxes, from the gross proceeds due to the owner.

C. Any operator that violates this section shall be liable to the persons legally entitled to the proceeds from production for the unpaid amount of such proceeds with interest thereon at the rate of ~~twelve percent (12%)~~ fifteen percent (15%) per annum ~~to be compounded annually,~~ calculated from the last day of the production month.

D. The district court for the county in which the unit is located shall have jurisdiction over all proceedings brought pursuant to this section. The prevailing party in any proceeding brought pursuant to this section shall be entitled to recover any court costs and reasonable expert witness and ~~attorney's~~ attorney fees.

E. All payments under this section to owners or any other person or governmental entity legally entitled to the payment may be made by electronic means including, but not limited to, electronic funds transfer, Automated Clearing House (ACH), direct deposit, wire transfer, or any other similar form of transfer, upon the mutual written consent of the payor and payee.

SECTION 12. AMENDATORY 17 O.S. 2021, Section 519, is amended to read as follows:

Section 519. Before entering upon a site for brine well drilling, except in instances where there are non-state resident surface owners, non-state resident surface tenants, unknown heirs, imperfect titles, surface owners, or surface tenants whose whereabouts cannot be ascertained with reasonable diligence, the operator shall give to the surface owner a written notice of his or her intent to drill containing a designation of the proposed location and the approximate date that the operator proposes to commence drilling.

Such notice shall be given in writing by certified mail to the surface owner. If the operator makes an affidavit that he or she has conducted a search with reasonable diligence and the whereabouts of the surface owner cannot be ascertained or such notice cannot be delivered, then constructive notice of the intent to drill may be given in the same manner as provided for the notice of proceedings to appoint appraisers set forth in Section ~~22~~ 521 of this ~~act~~ title.

Within five (5) days of the date of delivery or service of the notice of intent to drill, it shall be the duty of the operator and

the surface owner to enter into ~~good-faith~~ good-faith negotiations to determine the surface damages.

The provisions of Sections 519 through 522 of this title are hereby expressly made inapplicable to the formation of a produced water unit.

SECTION 13. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 4th day of May, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____